

**BEFORE
THE FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-34

SEAFAIR USA LLC

VS.

STERLING CONTAINER LINE LIMITED AND
ATLANTIC FORWARDING LTD.

RESPONDENTS' VERIFIED ANSWER AND DEFENSES TO COMPLAINT

Respondents STERLING CONTAINER LINE LIMITED (“Sterling”) and ATLANTIC FORWARDING LTD. (“Atlantic”, and together with Sterling, the “Respondents”), through undersigned counsel, answer Complainant SEAFAIR USA LLC’s (“SeaFair” or “Complainant”) Complaint (the “Complaint”), and set forth defenses, upon information and belief, as follows:

All allegations in the Complaint are denied unless specifically admitted herein.

1. Paragraph 1 contains no factual allegations with respect to the Respondents and requires no response. To the extent a response is required, Respondents deny knowledge or information sufficient to form a belief as to the allegations contained in paragraph 1 of the Complaint.
2. Admit the allegations contained in paragraph 2 of the Complaint.
3. Admit the allegations contained in paragraph 3 of the Complaint.
4. Admit that Sterling is an entity in the organizational structure of Atlantic. Respondents deny the remaining allegations contained in paragraph 4 of the Complaint.
5. Deny the allegations contained in paragraph 5 of the Complaint.

6. Admit that Sterling's House Bills of Lading are at times issued by branch offices of Atlantic. Respondents deny the remaining allegations contained in paragraph 6 of the Complaint.
7. While SeaFair has not identified in its Complaint what "document turnover fees" it refers to, in communications prior to the filing of this Complaint, Respondents offered to pay SeaFair \$5,500.00 in connection with the following SeaFair invoices: (i) MIAD049648 (\$2,530.00); (ii) MIAD049649 (\$2,695.00); and (iii) MIAD049650 (\$275.00). SeaFair did not, and has not, provided payment transmission details and accordingly declined to accept payment. Respondents deny the remaining allegations contained in paragraph 7 of the Complaint, and demand strict proof thereof.
8. Deny knowledge or information sufficient to form a belief as to the allegation contained in paragraph 8 of the Complaint, and demand strict proof thereof. Respondents further demand that SeaFair produce a copy of the referenced "agreement", which forms the basis for SeaFair's allegation.
9. Deny knowledge or information sufficient to form a belief as to the allegation contained in paragraph 9 of the Complaint, and demand strict proof thereof.
10. Admit that SeaFair has issued two separate and distinct 46 C.F.R. § 515.23(b) claims with Sterling's bondholder United States Fire Insurance Company ("USFIC"), including one on March 1, 2022 and one on October 14, 2022, which Respondents promptly disputed and denied. Respondents deny the claims and the remaining allegations contained in paragraph 10 of the Complaint.
11. While Respondents deny the allegations contained in the claim document, Respondents admit that SeaFair made a 46 C.F.R. § 515.23(b) claim for damages on March 1, 2022 to

USFIC for \$138,422.00, which included \$790.00 in attorney's fees (the "First Claim"). SeaFair's First Claim contained numerous factual and accounting discrepancies and inaccuracies. Specifically, SeaFair provided inaccurate invoice amounts and incorrectly identified Atlantic as due and owing such inaccurate amounts. On March 9, 2022, Atlantic made a payment of \$115,417.05 to SeaFair in connection with the accurate invoices identified in the First Claim. Counsel for Atlantic responded to the First Claim on or around March 21, 2022 requesting confirmation of SeaFair's receipt of payment and identifying certain SeaFair invoices as in dispute, due to SeaFair's inaccurate and incorrect documentation.

12. Admit that SeaFair sent a letter regarding the First Claim to USFIC. The remainder of the allegations contained in paragraph 12 of the Complaint contain legal conclusions to which Respondents are not required to respond. To the extent a response is required, Respondents deny the same and demand strict proof thereof.
13. Respondents admit that SeaFair and Respondents engaged in negotiations spanning the course of several months in connection with the First Claim, which was due to the fact that SeaFair did not provide consistent, correct, and accurate invoice information in terms of the invoices identified as outstanding and due and owing in the First Claim. SeaFair has yet to provide correct and accurate invoices for any other invoices which would be due and owing by Respondents related to the First Claim. Respondents admit that on March 9, 2022, Atlantic made a payment of \$115,417.05 to SeaFair in connection with the accurate invoices identified in the First Claim. Respondents deny the remaining allegations contained in paragraph 13 of the Complaint.
14. In response to paragraph 14, Respondents assert that SeaFair refused to accept payment by

Atlantic in September of 2022. Respondents admit that Atlantic owes SeaFair \$8,920.00 in connection with certain outstanding invoices identified under the First Claim. Between March and August 2022, Atlantic sought to confirm the invoice totals identified by SeaFair in the First Claim through an exchange of correspondence with counsel for SeaFair, which was a result of SeaFair including duplicative, inconsistent, and at times incorrect information with respect to the total amounts due and owing by Respondents (for example, SeaFair identified invoices as outstanding and due and owing that had in fact been paid by Respondents as early as February 17, 2022, and billed Respondents for invoices that were in fact due and owing by the consignee of the associated shipment). On August 22, 2022 and September 30, 2022, Atlantic requested via email through the undersigned counsel that SeaFair provide information as to where to send the outstanding \$8,920.00 payment to SeaFair. SeaFair refused to provide payment transmission details and indicated on September 30, 2022 that, despite Atlantic standing ready to make the \$8,920.00 payment, SeaFair did not want Atlantic to make the proposed payment at this time. Respondents deny the remainder of the allegations contained in paragraph 14 of the Complaint.

15. Respondents admit that SeaFair invoiced Atlantic \$5,500.00 in document turnover fees and made a demand as to these payments in a letter to Respondents dated August 3, 2022. Respondents deny knowledge or information sufficient to form a belief as to the remaining allegations contained in paragraph 15 of the Complaint, and demand strict proof thereof. Respondents have, in detail, requested proof of the information contained in this paragraph in its November 28, 2022 letter, attached as Exhibit A.
16. Respondents admit that SeaFair demanded payment of \$5,500.00 in document turnover fees and \$321,533.52 in so-called “destination charges” in a letter dated August 3, 2022.

Respondents deny that any such destination charges are valid, accurate, or owed by Respondents, and demand strict proof thereof. SeaFair has repeatedly failed to provide basic accurate, consistent, and correct documentation and records related to such payments, or Respondents' alleged liability for the same.

17. Admit that, in part, Respondents' August 22, 2022 response to SeaFair's August 3, 2022 letter sought to resolve the First Claim fully, including a request to make payment to SeaFair in full resolution of the First Claim. The letter contained additional requests, beyond the request to make payment. Respondents deny the remaining allegations contained in paragraph 17 of the Complaint.
18. Admit that, rather than accepting payment in full resolution of the First Claim, on September 30, 2022 SeaFair refused to accept payment for the First Claim and instead expressed their intent to file a supplemental and separate claim, which related to completely different invoices and allegations. Admit that SeaFair presented a second and distinct 46 C.F.R. § 515.23(b) claim letter to USFIC on October 14, 2022 (the "Second Claim"). Respondents responded to the Second Claim through undersigned counsel via email on November 4, 2022 disputing certain aspects of the Second Claim. Respondents then sent an additional response to SeaFair regarding the Second Claim on November 28, 2022 (*see Exhibit A*). Atlantic offered to reimburse SeaFair \$5,500.00 in document turnover fees for the following SeaFair invoices: (i) MIAD049648 (\$2,530.00); (ii) MIAD049649 (\$2,695.00); and (iii) MIAD049650 (\$275.00). However, Respondents disputed certain destination charge invoices alleged by SeaFair to total \$321,533.52 and requested additional evidence and information confirming (i) the accuracy of the parties purported to be liable for payment of the alleged destination charges, (ii) the nature and scope of the

destination charges identified, and (iii) evidence of destination charge payments allegedly made by SeaFair on behalf of the Respondents.

19. Deny the allegations contained in paragraph 19 of the Complaint, demand strict proof thereof, and defer all questions of law to the Commission for determination. As clearly stated, allegations are fully disputed by Respondents.
20. Deny the allegations contained in paragraph 20 of the Complaint and demand strict proof thereof.
21. Admit that Respondent Sterling is a foreign non-vessel operating common carrier (“NVOCC”) that publishes a tariff pursuant to 46 CFR § 520.3. The remainder of the allegations contained in paragraph 21 of the Complaint contain legal conclusions to which Respondents are not required to respond. To the extent a response is required, Respondents deny the same and demand strict proof thereof.
22. Deny the allegations contained in paragraph 22 of the Complaint, and demand strict proof thereof.
23. Deny the allegations contained in paragraph 23 of the Complaint, and demand strict proof thereof.
24. Deny the allegations contained in paragraph 24 of the Complaint, and demand strict proof thereof.
25. Deny the allegations contained in paragraph 25 of the Complaint, and demand strict proof thereof.
26. Deny the allegations contained in paragraph 26 of the Complaint and demand strict proof thereof.
27. Deny the allegations contained in paragraph 27 of the Complaint, and demand strict proof thereof.

thereof.

28. Deny the allegations contained in paragraph 28 of the Complaint, and demand strict proof thereof. Respondents have requested basic information regarding the alleged charges, and SeaFair's records regarding the responsible parties, in order to determine what (if any) is owed by Respondents. SeaFair has not provided any such information.
29. Paragraph 29 contains no factual allegations with respect to the Respondents and requires no response. To the extent a response is required, Respondents deny the allegations contained in paragraph 29 of the Complaint, and demand strict proof thereof.
30. Deny the allegations contained in paragraph 30 of the Complaint, and demand strict proof thereof. Respondents have in no way willfully or intentionally withheld payment to SeaFair in the manner identified in paragraph 30 of the Complaint.
31. Paragraph 31 contains no factual allegations with respect to the Respondents and requires no response. To the extent a response is required, Respondents defer all questions of law to the Commission for determination.
32. Deny the allegations contained in paragraph 32 of the Complaint, and demand strict proof thereof.
33. Paragraph 33 contains no factual allegations with respect to the Respondents and requires no response.

AFFIRMATIVE DEFENSES

1. The Federal Maritime Commission lacks subject matter jurisdiction over the Complaint.
2. The Complaint does not allege that the Federal Maritime Commission has subject matter jurisdiction over the Complaint.
3. The Federal Maritime Commission lacks personal jurisdiction over Respondent Atlantic

Forwarding Ltd.

4. The Complaint fails to state a claim for which relief may be granted.
5. Complainant has not alleged essential elements of a claim under 46 U.S.C. § 41102(a).
6. Complainant has not alleged essential elements of a claim under 46 U.S.C. § 41102(c).
7. Complainant has not alleged essential elements of a claim under 46 U.S.C. § 41104(a)(2)(A).
8. Complainant has not alleged essential elements of a claim under 46 U.S.C. § 41104(a)(4)(A).
9. Complainant has not alleged essential elements of a claim under 46 C.F.R. § 545.5.
10. The claims alleged in the Complaint are barred by the doctrines of equitable estoppel and/or unclean hands.
11. Any alleged damages sustained by the Complainant were proximately, directly, and solely caused by the acts of third persons over whom the Respondents had and have no direction or control.
12. In the alternative, and without waiver of any other defenses or affirmative defenses, any oral agreement alleged to have been in place by Complainant is unenforceable because it would have been required to be in writing or otherwise satisfy the statute of frauds or equivalent.
13. In the alternative, and without waiver of any other defenses or affirmative defenses, Complainant has failed to mitigate its damages.
14. SeaFair has unclean hands and is therefore barred from recovering on any claim against Respondents.
15. SeaFair has acted in bad faith and deceit, knowingly and intentionally engaging in

deliberately misleading actions and omissions.

16. SeaFair has already received payments from third parties and/or Respondents for some or all of the claims upon which this Complaint is based. Respondents are not liable to SeaFair on account of any claims or damages for which payment has already been made to SeaFair by other third parties and/or Respondents. Respondents plead the defense of set-off and payment and craves that its payments be set off as appropriate against any liability it may have to SeaFair (which liability Respondents fully deny). Respondents demand a complete accounting from SeaFair in connection with this defense.

17. Respondents relied to their detriment on SeaFair's admissions and representations; SeaFair is therefore estopped from recovering any such sums from Respondents.

18. SeaFair knowingly and voluntarily waived the right to recover for some or all of the damages it claims in this Complaint.

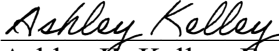
19. The Federal Maritime Commission lacks the authority to award damages for a breach of contract claim. Pursuant to 46 U.S.C. § 40502(f), the exclusive remedy for a breach of a service contract is an action in an appropriate court.

RESERVATION OF RIGHTS

Respondents reserve their respective rights to amend this Answer and to plead any additional affirmative defenses.

WHEREFORE, Respondents pray that after due oral hearing to be conducted in Washington, D.C., an order be made dismissing the Complaint, and that Respondents be awarded the costs and disbursements of this action and such other and further relief that may be deemed just and proper.

Respectfully Submitted,



Ashley K. Kelley, Esq.
(SC Bar #78013; US District Court for
the District of South Carolina #10369)
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Email: Ashley.Kelley@wbd-us.com

David Collins, Esq.
Direct Dial: (843) 720-4618
Email: David.Collins@wbd-us.com

Womble Bond Dickinson (US) LLP
5 Exchange Street
PO Box 999 (29402)
Charleston, SC 29401

Julius H. Bodie, Esq.
(D.C. Bar # 1601620; CA Bar # 318048)
Direct Dial: (202) 857-4552
Email: Julius.Bodie@wbd-us.com

Womble Bond Dickinson (US) LLP
2001 K Street, NW
Suite 400 South
Washington D.C. 20006

*Counsel for Atlantic Forwarding Ltd. and Sterling
Container Line Limited*

CERTIFICATE OF SERVICE

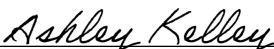
I HEREBY CERTIFY that on this 26th day of December 2022, the foregoing Verified

Answer was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
The Honorable Erin M. Wirth
Chief Administrative Law Judge
Presiding Administrative Law Judge
judges@fmc.gov

Complainant
SEAFair USA LLC
C/O LIANG + MOONEY, PLLC
Shanshan Liang, Esq.
sliang@customscourt.com
Counsel for SeaFair USA LLC



Ashley K. Kelley, Esq.

VERIFICATION OF RESPONDENT
ATLANTIC FORWARDING LTD.

Canton of Basel, Country of Switzerland, first being duly sworn on oath deposes and hereby verifies as follows:

1. I am Marco Iulita of ATLANTIC FORWARDING LTD. ("ATLANTIC").
2. I am authorized to make this verification on behalf of ATLANTIC.
3. I hereby verify that the facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information, and belief.
4. I verify under penalty of perjury that the foregoing is true and correct.

Date: December 22, 2022

Name: Marco Iulita

Title: Chief Financial Officer

Email:

marco.iulita@bsl.atlanticforwarding.com

Telephone: +41 58 776 77 65

ATLANTIC FORWARDING LTD.

Grosspeteranlage 29

4052 Basel, Switzerland

SWORN TO AND SUBSCRIBED BEFORE ME

____ day of December, 2022

Notary Public

My commission expires: _____



LEGALISATION

We hereby certify that the signature of

Marco Adriano IULITA

from **Wetzikon ZH** resident in **Weisslingen**
born on **07.10.1968**

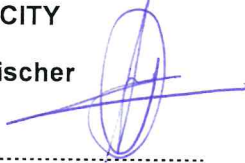
identified by **Pass X4108138**
is genuine.

No. **242620** Tax: **CHF 15.00**

Basel, **22.12.2022**

LEGALISATIONS OF THE CANTON OF BASEL-CITY

Saulo Fischer



The **certification refers exclusively to the signature**
and not the content or the authenticity of the signed
document.



VERIFICATION OF RESPONDENT
STERLING CONTAINER LINE LIMITED

Canton of Basel, Country of Switzerland, first being duly sworn on oath deposes and hereby verifies as follows:

5. I am Marco Iulita of STERLING CONTAINER LINE LIMITED ("STERLING").
6. I am authorized to make this verification on behalf of STERLING.
7. I hereby verify that the facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information, and belief.
8. I verify under penalty of perjury that the foregoing is true and correct.

Date: December 22, 2022



Name: Marco Iulita

Title: Chief Financial Officer

Email: marco.iulita@bsl.atlanticforwarding.com

Telephone: +41 58 776 77 65

STERLING CONTAINER LINE LIMITED

Flat/Rm 722, 7/F, Metroplaza, Tower 2

223 Hing Fong Road, Kwai Fong, N.T., Hong Kong

SWORN TO AND SUBSCRIBED BEFORE ME

____ day of December, 2022

Notary Public

My commission expires: _____



LEGALISATION

We hereby certify that the signature of

Marco Adriano IULITA

from **Wetzikon ZH** resident in **Weisslingen**
born on **07.10.1968**

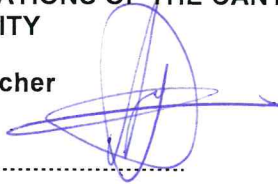
identified by **Pass X4108138**
is genuine.

No. **242621** Tax: **CHF 15.00**

Basel, **22.12.2022**

LEGALISATIONS OF THE CANTON OF BASEL-CITY

Saulo Fischer



.....
The **certification refers exclusively to the signature**
and not the content or the authenticity of the signed
document.





notário luís valente

_____ Reconheço a **assinatura** no documento anexo de **MARC CHRISTOPH MATSCHULLAT**, feita na minha presença pelo próprio cuja identidade verifiquei pela exibição do passaporte C4FLNCKLK, emitido em 07/06/2019 pela Embaixada da Alemanha no Panamá.

_____ Cartório a cargo do Notário Luís Miguel Gonçalves Rodrigues Valente, sito na Praceta Dr. Clementino de Brito Pinto, nº 6, rés-do-chão esquerdo, em Faro, 22 de Dezembro de 2022.

O Notário,

(Luís Miguel Gonçalves Rodrigues Valente)

Registo n.º PA03700/2022
Foi emitido recibo

_____ I certify that the signature on the attached document was produced before me by **MARC CHRISTOPH MATSCHULLAT**, whose identity I've verified by his passport C4FLNCKLK, issued on the 07/06/2019 by the German Embassy in Panamá.

_____ Notarial Office in Faro - Notary Luís Miguel Gonçalves Rodrigues Valente, in Praceta Dr. Clementino de Brito Pinto, nº 6 D, ground floor left., Faro, Portugal, February 25th 2022.

The Notary,

(Luís Miguel Gonçalves Rodrigues Valente)

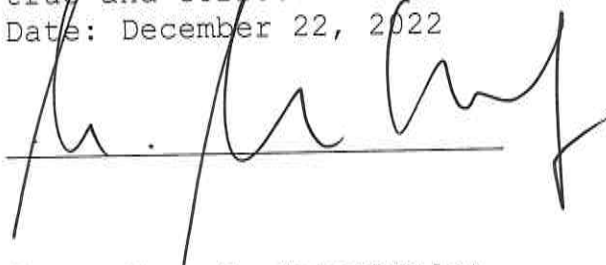
Registration n.º PA03700/2022 Invoice was issued.

I certify that the translation above is an accurate translation of the Portuguese wording above the translation.

The Notary,

(Luís Miguel Gonçalves Rodrigues Valente)

1. am Marc C. Matschullat of ATLANTIC FORWARDING LTD.
("ATLANTIC").
2. I am authorized to make this verification on behalf of
ATLANTIC.
3. I hereby verify that the facts contained in the
foregoing answer and affirmative
defenses are true and correct to the best of my knowledge,
information, and belief.
4. I verify under penalty of perjury that the foregoing is
true and correct.
- Date: December 22, 2022

A handwritten signature in black ink, appearing to be 'M. Matschullat', is written over a horizontal line.

Name: Marc C. Matschullat
Title: Chief Commercial Officer / Chief
Procurement Officer
Email:
Marc.Matschullat@bsl.atlanticforwarding.com
Telephone: +507 63799747
ATLANTIC FORWARDING LTD.
Grosspeteranlage 29
4052 Basel, Switzerland

EXHIBIT A



November 28, 2022

Womble Bond Dickinson (US) LLP

5 Exchange Street
PO Box 999 (29402)
Charleston, SC 29401

Liang + Mooney, PLLC
2104 Delta Way, Unit 1
Tallahassee, FL 32303-4236
Attention: Dr. Shanshan (Shannon) Liang, Esq.

Ashley Kutz Kelley, Partner
(E): Ashley.Kelley@wbd-us.com
(T): (843) 720-4679

Via Email to sliang@customscourt.com

Re: SeaFair USA, LLC 46 C.F.R. § 515.23 Claim
Sterling Container Line Limited; Surety Bond # SU41402

Dr. Liang:

As you are aware, this law firm represents Sterling Container Line Limited (“Sterling”) and Atlantic Forwarding Group (“AFG”) in connection with the 46 C.F.R. § 515.23(b) surety bond claim issued by SeaFair USA LLC (“SeaFair”) on October 14, 2022 (the “Surety Bond Claim”). On November 4, 2022, Sterling and Atlantic, through the undersigned counsel via email, disputed certain of the destination charges and document turnover invoices alleged as outstanding and due and owing by Sterling and AFG to SeaFair. This letter is to further set forth Sterling and AFG’s grounds for dispute as well as to request additional information that will enable Sterling and AFG to confirm the veracity of the invoices alleged as outstanding and due and owing to SeaFair.

I. Document Turnover Invoices

As a threshold matter, the following invoices identified as outstanding and due and owing by SeaFair in the Surety Bond Claim have in fact been approved and accepted by Sterling and AFG: (i) MIAD049648 (\$2,530.00); (ii) MIAD049649 (\$2,695.00); and (iii) MIAD049650 (\$275.00). Sterling and AFG accordingly acknowledge these invoices as accurate and intend to complete payment for these invoices for document turnover fees as requested by SeaFair.

II. Destination Charge Invoices

The Surety Bond Claim further identifies certain invoices described as “destination charges” that were paid by SeaFair on behalf of Sterling and/or AFG, and claims that SeaFair is entitled to reimbursement for these charges pursuant to its Terms and Conditions of Service. The destination charge invoices alleged as outstanding and due and owing to SeaFair total \$321,533.52, and are outlined in detail below along with requests for additional information and grounds for dispute.

To be clear, Sterling and AFG fully dispute and deny each of these invoices and allegations that such payments are owed by Sterling and/or AFG, and demand strict proof thereof.

Invoice	Amount	Parties
MIAD049825	\$20,864.66	Billed Entity: Atlantic Forwarding (China) Co. Ltd. (Shanghai, CN) Consignee Identified: Atlantic Forwarding (China) Co. Ltd.
MIAD049826	\$19,988.28	Billed Entity: Atlantic Forwarding (China) Co. Ltd. (Shenzhen, CN) Consignee Identified: Atlantic Forwarding (China) Co. Ltd.
MIAD049827	\$27,357.00	Billed Entity: Atlantic Forwarding Co. Ltd. (Bangkok, TH) Consignee Identified: Atlantic Forwarding (China) Co. Ltd.
MIAD049828	\$75,292.08	Billed Entity: Atlantic Forwarding (China) Co. Ltd. (Tianjin, CN) Consignee Identified: Atlantic Forwarding (China) Co. Ltd.
MIAD049829	\$37,055.76	Billed Entity: Atlantic Forwarding (China) Co. Ltd. (Xiamen, CN) Consignee Identified: Atlantic Forwarding (China) Co. Ltd.
MIAD049830	\$64,764.86	Billed Entity: Atlantic Forwarding (China) Co. Ltd. (Ningbo, CN) Consignee Identified: Atlantic Forwarding (China) Co. Ltd.
MIAD049831	\$714.88	Billed Entity: Atlantic Forwarding (China) Co. Ltd. (Qingdao, CN) Consignee Identified: Atlantic Forwarding (China) Co. Ltd.
MIAD049832	\$196.00	Billed Entity: Safewater Lines India Private Limited (Ghaziabad, IN) Consignee Identified: Atlantic Forwarding (China) Co. Ltd.
MIAD049838	\$9,435.00	Billed Entity: PT. Mitra Atlantic Nusantara (Jakarta, IN) Consignee Identified: Voestalpine Bohler Welding USA Inc.
MIAD049839	\$65,865.00	Billed Entity: PT. Mitra Atlantic Nusantara (Jakarta, IN) Consignee Identified: Voestalpine Bohler Welding USA Inc.

A. Sterling and/or AFG are not responsible or liable for “destination charges” invoices in which Voestalpine Bohler Welding USA Inc. is the consignee.

As a threshold matter, Voestalpine Bohler Welding USA Inc. (“VBW”) as the identified consignee would be the liable party for any purported “destination charges” identified in MIAD049838 and MIAD049839. Neither Sterling or AFG (nor any Sterling or AFG subsidiary or affiliate entity) are the consignee set forth and identified on the face of those invoice documents SeaFair provided in support of the Surety Bond Claim.

Accordingly, MIAD049838 and MIAD049839 should be completely removed from the Surety Bond Claim, and correspondence regarding MIAD049838 and MIAD049839 (if any) should be directed by SeaFair to VBW, the responsible consignee (**not** Sterling and/or AFG).

B. Sterling and AFG fully dispute and deny the remaining Destination Charge Invoices, and demand strict proof thereof.

Sterling and AFG dispute each of the remaining invoices (collectively, the “Destination Charge Invoices”). To the extent SeaFair asserts that Sterling and/or AFG is responsible, Sterling and AFG demand strict proof and detailed information confirming (i) the accuracy of the parties purported to be liable for payment of these so-called “destination charges”; (ii) the nature and amount of the “destination charges” identified; and (iii) confirmation and evidence of payments allegedly made by SeaFair on behalf of Sterling and AFG. Any purported destination charges alleged to be due and owing by Sterling and/or AFG must be fully recognized without objection from the consignee(s) identified on the relevant Seaway Bills and Sterling House Bills and formally assigned to Sterling and/or AFG.

III. Information Demanded From SeaFair

Sterling and AFG demand that SeaFair produce and provide the following information:

- 1. Please provide full and complete copies of all Seaway Bills and Sterling House Bills pertinent to the Destination Charge Invoices for the shipments identified in the following SeaFair invoices: MIAD049825; MIAD049826; MIAD049827; MIAD049828; MIAD049829; MIAD049830; MIAD049831; and MIAD049832.**
 - a. The Surety Bond Claim’s Exhibit 1 contains only a sample Seaway Bill, and fails to provide documentation or proof regarding the invoices claimed by SeaFair.
- 2. Please provide details and additional information on how SeaFair defines and calculates “destination charges,” including under the referenced SeaFair Terms and Conditions of Service.**
- 3. Please identify the party or parties to whom SeaFair purportedly paid “destination charges” on behalf of Sterling and/or AFG, and any related documentation or invoices evidencing those payments were made or third-party receipt thereof.**

- a. This request includes, but is not limited to, bank account statements and records, including the dates, amounts paid, and evidence of the transfer and payment of funds, and the receiving party of such funds.
- b. This request includes, but is not limited to, identifying contact information for the party or parties to whom SeaFair purportedly paid “destination charges” on behalf of Sterling and/or AFG.

To the extent that SeaFair has any questions or requires any additional information, please do not hesitate to contact me at Ashley.Kelley@wbd-us.com or at (843) 720-4679.

Sincerely,

Womble Bond Dickinson (US) LLP



Ashley Kutz Kelley, Partner

CC, via email:

Joe Aguiar

United States Fire Insurance Company